

the vague Proposal and assurances of performance, while knowing or recklessly disregarding the defects and violations detailed herein. (XComp, ¶ 51.) There are no facts showing who made the misrepresentations or when or how they were made. Likewise, Cross-Complainants allege that Cross-Defendants fraudulently concealed defects such as improper framing, electrical hazards, inadequate fastening, and utility issues as detailed in while demanding payments and recording the lien, intending to deceive Cross-Complainants into believing the work was progressing acceptably. (Id at ¶ 48.) These allegations are vague and do not meet the heightened pleading standard for fraud-based causes of action. Accordingly, the Demurrer is sustained as to the eighth and ninth causes of action. Cross-Complainants may be able to add greater specificity to cure the defects. Leave to amend is granted.

2.

CASE #	CASE NAME	HEARING NAME
CVME2512727	ALVARADO CONSTRUCTION & LOGISTICS ENGINEERING INC. VS PELEGRIN	MOTION TO STRIKE CROSS- COMPLAINT

Tentative Ruling: Motion to Strike is Granted on Punitive Damages, Emotional Distress, and Attorney’s Fees with 20 days leave to amend.

Motion to Strike -Pursuant to CCP §436(a), the court may “strike out any irrelevant, false, or improper matter inserted in any pleading.” When ruling on a motion to strike, the allegations of the pleading are assumed to be true and read in their context. (*Clauson v. Superior Court* (1998) 67 Cal. App. 4th 1253, 1255.) A pleading is to be liberally construed. (*CLD Construction v. City of Ramon* (2004) 120 Cal. App. 4th 1141, 1146.)

Punitive Damages - A motion to strike is the proper procedure to attack a claim for punitive damages. (CCP §§ 435-436; *Truman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) Plaintiffs may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code §3294(a).) As defined in the statute, malice is “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others,” while oppression is defined as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code § 3294(c)(1) and (2).) As used in the statute, despicable conduct is conduct which is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*American Airlines, Inc. v. Sheppard Mullin Richter & Hampton* (2002) 96 Cal. App. 4th 1017, 1050.) “Fraud” is defined as, “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code, § 3294(c)(3).) “A fraud cause of action seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610.)

A plaintiff must plead facts showing fraud, oppression or malice to support a claim for punitive damages. (*Grieves v. Superior Court* (1984) 157 Cal. App. 3d 159, 166.) The pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal. App. 3d 306, 317.) “[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal. App. 3d 864, 872.) However, such conclusory allegations will not be stricken where they are supported by other *factual* allegations in the complaint. (Weil & Brown, Cal. Practice Guides: Civ. Pro. Before Trial (The Rutter Group, 2020) P. 7:181, p. 7(i)-78, emphasis in the original; see also *Perkins v. Superior Court* (1981) 117 Cal. App. 3d 1, 6.)

Because the fraud claims were not sufficiently pled, the Motion is essentially moot as to the claim for punitive damages. As stated above, punitive damages are not available under the UCL. (*Zhang v. Superior Court* (2013) 57 Cal. 4th 364, 376.) Additionally, punitive damages may not be awarded on contract claims. (*Cates Construction, Inc. v. Talbot Partners* (1999) 21 Cal. 4th 28, 61.) Moreover, punitive damages are not available for routine or even gross negligence. (*Colombo v. BRP US Inc.* (2014). 230 Cal. App. 4th 1442, 1456.) Here, without the allegations of fraud, Plaintiff’s claims regarding the failure to perform the construction work in a workmanlike manner appear to constitute negligence rather than despicable conduct. As such, the Motion is granted with leave to amend.

Emotional Distress -Cross-Complainants seeks damages for emotional distress in connection with their Negligence cause of action. (XComp., ¶31.) “No California case has allowed recovery for emotional distress arising solely out of property damage” (*Erllich, supra*, 21 Cal. 4th at 554; citing *Cooper v. Superior Court* (1984) 153 Cal. App. 3d 1008, 1012.) Generally, “unless the defendant has assumed a duty to plaintiff in which the emotional condition of the plaintiff is an object, recovery is available only if the emotional distress arises out of the defendant’s breach of some other legal duty and the emotional distress is proximately caused by that breach of duty. Even then, with rare exceptions, a breach of the duty must threaten physical injury, not simply damage to property or financial interests.” (*Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal. 4th 965, 985.)

Although in their Opposition to the Motion to Strike, Cross-Complainants allege that the negligent construction created safety risks which caused severe emotional distress, this is not clear from the facts alleged in the Cross-Complainant. Accordingly, the Motion to Strike is granted with leave to amend.

Attorney’s Fees - Cross-Defendants move to strike the Prayer for attorney’s fees. California follows the traditional “American rule” that each party to litigation ordinarily pays its own attorney fees. (*Musaelian v. Adams* (2009) 45 Cal.4th 512, 516.) Attorney’s fees are recoverable as costs only when authorized by contract, statute, or law. (CCP §1033.5(a)(10)(A)-(C).)

Cross-Complainants have not pled any statutory basis for the claim for attorney’s fees. Nor do they allege that the Proposal/Construction Contract contained a fee-shifting provision.

In their Opposition, Cross-Complainants argue that they may seek fees under the “tort of another” theory. The tort of another doctrine is an “exception” to the American Rule whereby “[a] person who, through the tort of another, has been required to act in the protection of his interests by bringing or defending an action against a third person is entitled to recover compensation for the reasonably necessary loss of time, attorney’s fees, and other expenditures thereby suffered or incurred.” (*Prentice v. North Amer. Title Guar. Corp.* (1963) 59 Cal.2d 618, 620.) In such cases, the attorneys’ fees are recoverable as damages resulting from the tort in the same way that medical fees would be part of the damages in a personal injury action. (*Sooy v. Peter* (1990) 220 Cal. App. 3d 1305, 1310.) Here, Cross-Complainants alleged that they were required to prosecute or defend a third-party lawsuit. It is clear from the allegations that Cross-Complainants seek the legal fees associated with the present lawsuit. As such, the tort of another doctrine does not apply.

Cross-Complainants also argue that they may seek punitive damages pursuant to CCP §1021.5, which provides that a court may award attorneys’ fees to a successful party in any action which has resulted in the enforcement of an important right affecting the public interest if: (a) a significant benefit has been conferred on the general public or a large class of persons, (b) the necessity and financial burden of private enforcement are such as to make the award appropriate, and (c) such fees should not in the interest of justice be paid out of the recovery, if any. Recovery is available only if the proceeding: (1) served to vindicate an important public right; (2) conferred a significant benefit on the public or a large class of persons; and (3) imposed a financial hardship on the plaintiff which was out of proportion to his or her individual stake in the matter. (*Baggett v. Gates* (1982) 32 Cal. 3d 128, 142.) The benefit must be more than a cautionary message to the defendant that its conduct is wrongful. (*Flannery v. California Highway Patrol* (1998) 61 Cal. App. 4th 629, 635.) “Section 1021.5 was not designed as a method for rewarding litigants motivated by their own pecuniary interests who only coincidentally protect the public interest.” (*Angelheart v. City of Burbank* (1991) 232 Cal. App. 3d 460, 470.) The Cross-Complainant contains no claims that would confer a substantial benefit on the general public. This case involves a private dispute and is motivated entirely by Cross-Complainants pecuniary interests.

Because Cross-Complainants have pled no exception to the American Rule, the Prayer for attorney’s fees is stricken.

3.

CASE #	CASE NAME	HEARING NAME
CVME2608137	COUNTY OF RIVERSIDE VS RAHMAN	HEARING ON PRELIMINARY INJUNCTION

Tentative Ruling: Preliminary Injunction is Granted.